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US-Italy Tax Survival Guide 2025

IRPEF brackets, Foreign Tax Credit, FBAR, FATCA, flat tax regimes, retirement accounts, and the Italian tax calendar

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Dual-Tax System

IRPEF + IRS

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US-Italy Tax Survival Guide 2025

IMPORTANT DISCLAIMER

This guide provides general information about US and Italian tax obligations for American residents in Italy. It is NOT tax advice and does NOT establish a tax advisor-client relationship. Tax law changes frequently and individual circumstances vary enormously. Always consult a qualified US-Italy dual-tax specialist (commercialista with US tax experience) for your specific situation before filing, making elections, or structuring your finances.

That said — understanding the system is half the battle. This guide gives you the knowledge to have an informed conversation with your advisor and avoid the most expensive surprises.

CHAPTER 1

1

The Dual-Tax Reality

How Two Countries Tax You Simultaneously

The most important thing to understand about moving to Italy as an American: you do not escape US taxes. The United States is one of only two countries in the world (the other is Eritrea) that taxes its citizens on worldwide income regardless of where they live. Moving to Italy means you now have TWO tax systems with claims on your income.

The good news: the US-Italy tax treaty and the Foreign Tax Credit system are specifically designed to prevent genuine double taxation in most cases. With proper planning, most Americans in Italy do not pay full taxes twice — they pay the higher of the two tax systems, with credits offsetting the other.

The Architecture of the Dual-Tax System

Tax Question	Italian System	US System
Who must file?	All Italian tax residents (183+ days/year or registered at anagrafe)	All US citizens and green card holders worldwide
What income is taxed?	Worldwide income (Italian residents)	Worldwide income (always, regardless of residence)
Primary tax on wages/income	IRPEF (23–43%)	Federal income tax (10–37%)
Social contributions	INPS (if working in Italy)	Social Security/Medicare (if US employer)
What prevents double taxation?	US-Italy Tax Treaty (1999)	Foreign Tax Credit (Form 1116)
Filing deadline	November 30 (730 form) or January (Redditi PF)	April 15 (June 15 extension for expats)
Tax year	January 1 — December 31	January 1 — December 31

The 1999 US-Italy Tax Treaty

The bilateral tax treaty between the US and Italy governs which country has primary taxing rights over different categories of income. Key provisions:

- **Pensions and Social Security (Art. 18–19):** Private pensions and Social Security are generally taxable only in the country of residence — if you live in Italy, Italy has primary taxing rights on your US pension.
- **Employment income (Art. 15):** Taxed in the country where the work is performed. Remote work for a US employer while physically in Italy is technically Italian-source income.
- **Business income (Art. 7):** Taxed where the permanent establishment is located. Critical for self-employed Americans.
- **Capital gains (Art. 13):** Generally taxed in the country of residence, with exceptions for real estate (taxed where property is located).
- **Dividends (Art. 10):** Italy can tax dividends paid to Italian residents at up to 15% (US companies) or 5% (10%+ shareholding). The US also taxes them — FTC coordination applies.

NOTE

The treaty has a Savings Clause (Art. 1.3) that preserves the US right to tax its citizens as if the treaty did not exist. This means the treaty primarily helps Italian-sourced income but does NOT eliminate US taxation of US-source income for US citizens.

CHAPTER 2

2

Italian Tax Residency

When You Become Liable

Italian tax residency is the trigger that makes Italy's worldwide income taxation applicable to you. Understanding exactly when you become an Italian tax resident — and how to manage the transition date strategically — is one of the highest-value planning decisions in the entire move.

The Three-Test Rule

Under Italian law (Art. 2 TUIR), you are an Italian tax resident for a calendar year if you meet ANY ONE of the following three conditions for more than 183 days in that year:

Test	Description
Test 1: Domicile	Your habitual abode — the center of your family and social interests — is in Italy. This is a qualitative test, not purely physical.
Test 2: Residence	Your habitual residence (residenza abituale) is in Italy. Physical presence for 183+ days.
Test 3: Registry (most important)	You are registered in the Italian anagrafe (civil population registry). THIS IS THE OPERATIVE TEST FOR MOST EXPATS. The moment you register at the anagrafe, Italy treats you as a tax resident for that ENTIRE calendar year — retroactively from January 1.

WARNING

The anagrafe registration test is the most dangerous for uninformed expats. If you register at the Italian anagrafe on December 1, Italy taxes you as a resident for the ENTIRE year — including January–November income earned while you were still in the US. The IRPEF liability on a full year of US income can be enormous.

The Strategic Registration Date

- **Register before July 2:** Italian tax resident for the FULL current year (183+ days test)
- **Register after July 2:** Italian tax resident from the FOLLOWING year (under 183 days remaining)

> **PRO TIP**
>
> If you arrive in Italy in October–December, delay anagrafe registration until January of the following year. This makes you an Italian tax resident starting the new calendar year — avoiding a retroactive full-year Italian tax liability on income you earned in the US all year. The permesso di soggiorno does not have the same year-triggering effect — it is the anagrafe registration that matters.

AIRE — The Registry of Italians Abroad

Conversely: if you are moving FROM Italy to the US, you must register with AIRE (Anagrafe degli Italiani Residenti all'Estero) to formally exit Italian tax residency. Failure to register with AIRE while living abroad keeps you in the Italian tax system. The Italian tax authority scrutinizes AIRE deregistrations for wealthy individuals.

CHAPTER 3

3

IRPEF

Italian Income Tax Brackets and Calculation

IRPEF (Imposta sul Reddito delle Persone Fisiche) is the Italian personal income tax. It applies to worldwide income of Italian tax residents at progressive rates. Understanding the bracket structure is essential for assessing your Italian tax liability and the benefit of alternative flat-rate regimes.

2025 IRPEF Rate Structure

Taxable Income Bracket	IRPEF Rate	Tax on Bracket	Cumulative Max Tax
Up to €28,000	23%	€6,440	€6,440
€28,001 – €50,000	35%	€7,700	€14,140
Above €50,000	43%	43% on excess	€14,140 + 43% above €50k

Regional and Municipal Surcharges

IRPEF is the national component only. Two additional surcharges apply:

- **Addizionale Regionale** (regional surcharge): 1.23–3.33% depending on region. Piedmont: 1.23%. Lazio: 3.33%. Lombardy: 1.23%.
- **Addizionale Comunale** (municipal surcharge): 0–0.8% depending on municipality.

Effective Tax Rate Examples

Annual Taxable Income	IRPEF	Regional/Municipal avg	Total Effective Rate	Tax Owed
€20,000	23%	~1.5%	~24.5%	~€4,900
€35,000	25.1%	~1.5%	~26.6%	~€9,310
€50,000	28.3%	~1.5%	~29.8%	~€14,900
€70,000	34.4%	~1.5%	~35.9%	~€25,130
€100,000	37.3%	~1.5%	~38.8%	~€38,800

Note: These are approximations for illustration. Actual liability depends on deductions, family situation, and specific regional/municipal rates. Calculate with your commercialista.

Key Deductions and Allowances

Deduction	Details
Mortgage interest (detrazione mutuo)	19% deduction on interest paid on a mortgage for your Italian primary residence. Maximum deductible: €4,000/year.
Medical expense deduction	19% on medical expenses exceeding €129. Applies to expenses paid in Italy.
Rental income option (cedolare secca)	21% flat on rental income vs ordinary IRPEF. Cedolare is usually better above the 23% bracket.
Renovation tax credit (50%)	50% deduction over 10 years on renovation costs up to €96,000 per property.
Dependent family deductions	Detrazioni per carichi familiari for dependent children and other family members.

CHAPTER 4

4

The Foreign Tax Credit

Your Primary Defense Against Double Taxation

The Foreign Tax Credit (FTC) on IRS Form 1116 is the mechanism that prevents most Americans in Italy from paying full taxes twice on the same income. It allows you to credit taxes paid to Italy against your US tax liability on the same income — dollar for dollar, up to certain limits.

How the FTC Works

1. Calculate your Italian tax on the income
2. Calculate your US tax on the same income
3. You pay Italy first (Italy has primary taxing rights as your country of residence)
4. Credit the Italian tax paid against your US tax bill on Form 1116
5. If Italian tax > US tax: no US tax due on that income (but no refund of the excess)
6. If Italian tax < US tax: pay the difference to the IRS

FTC in Practice — Three Scenarios

Scenario	Italian IRPEF	US Federal Tax	Net Result
Italian tax higher (common at higher incomes)	€14,000	€10,500	Zero US tax due. €3,500 excess credit carried forward.
US tax higher (common at lower incomes)	€4,600	€6,200	€1,600 due to IRS after FTC.
Equal	€8,000	€8,000	Zero due to either. Fully offset.

The FTC Limitation: The Category Trap

The FTC is subject to a per-category limitation. The main categories relevant to Americans in Italy:

- **General category income:** Wages, salary, most pension income, self-employment income. Most income falls here.
- **Passive category income:** Dividends, interest, royalties, rental income, capital gains (in most cases). Separate basket.
- **Foreign branch income:** Income from a foreign business branch. Rare for most individuals.

> **PRO TIP**
>
> The most common FTC planning mistake: assuming all Italian taxes on all income create usable credits. Italian tax on rental income creates passive-category FTC — which can only offset US tax on passive income. Work with a dual-tax specialist to optimize your category allocation.

Excess FTC Carryforward

Unused FTC (where Italian tax exceeds the US credit limitation) can be carried forward for 10 years or back 1 year. This is valuable for years when Italian rates are high relative to US rates.

CHAPTER 5

5

FEIE vs Foreign Tax Credit

Which Strategy Is Right for You?

Americans abroad have two main mechanisms to reduce or eliminate US tax on foreign-earned income: the Foreign Earned Income Exclusion (FEIE) on Form 2555, and the Foreign Tax Credit (FTC) on Form 1116. They are mutually exclusive for the same income. Choosing incorrectly costs thousands of dollars.

Side-by-Side Comparison

Factor	FEIE (Form 2555)	FTC (Form 1116)
Applies to	Earned income only (wages, self-employment)	Any foreign-taxed income
Benefit	Excludes income from US tax base	Credits foreign taxes against US liability
Cap	$126,500/year (2025)	Limited to US tax on same income
Carryforward	None — use it or lose it	10 years forward, 1 year back
Best when	Italian taxes LOW relative to US	Italian taxes HIGH relative to US
Pension/SS income	Does NOT help	Can help
Self-employment	Reduces income tax but NOT SE tax	Does not reduce SE tax directly
Roth IRA contributions	Exclusion reduces earned income → may eliminate Roth eligibility	No impact on earned income base

When FTC Wins (Most Common for Americans in Italy)

The FTC is better — and is the standard recommendation for Americans in Italy — because Italian IRPEF rates (23–43%) are typically equal to or higher than US rates on the same income. Paying Italy first and crediting against US tax eliminates most US liability without the income-base reduction that FEIE causes.

> **WARNING**
>
> Never claim both FEIE and FTC on the same income. And if you claim FEIE, you cannot use FTC on the excluded income. If you switch from FEIE to FTC, there is a mandatory 5-year waiting period before you can use FEIE again. Get advice before changing strategies.

CHAPTER 6

6

The Italian Flat Tax Regime

€100,000 Annual Substitute Tax

Italy's optional flat tax regime (regime forfettario per neo-residenti, Art. 24-bis TUIR) allows qualifying new Italian residents to pay a flat €100,000 annual tax on ALL foreign-source income — regardless of how much that income actually is. For high-net-worth Americans with substantial US income, this can mean an enormous effective tax rate reduction.

Who Qualifies

- You are a new Italian tax resident — you have NOT been an Italian tax resident in at least 9 of the previous 10 tax years
- You establish Italian tax residency (anagrafe registration)
- You make the election in your first-year Italian tax return
- You pay the flat €100,000 tax (€25,000 for each additional family member on the same election)

The flat €100,000 replaces IRPEF, regional surcharges, and municipal surcharges on ALL income from foreign sources — US dividends, capital gains, interest, pension, Social Security, rental income from US property, foreign business income. Italian-source income is still taxed at standard IRPEF rates.

The Break-Even Calculation

Annual US-Source Income	Standard IRPEF Liability*	Flat Tax Cost	Annual Saving
€100,000	~€32,000	€100,000	WORSE — standard regime better
€200,000	~€74,000	€100,000	WORSE — standard regime better
€300,000	~€116,000	€100,000	€16,000 saved per year
€500,000	~€198,000	€100,000	€98,000 saved per year
€1,000,000	~€398,000	€100,000	€298,000 saved per year

**Approximate IRPEF + avg surcharges on foreign income only, before any deductions.*

Key Limitations

- **FTC not available on excluded income:** You cannot claim US Foreign Tax Credits on income covered by the flat tax election. Model both scenarios carefully.
- **Cannot cherry-pick countries:** You must apply the flat tax to ALL foreign income, or opt out of specific countries strategically.
- **Annual payment:** The €100,000 must be paid by the June 30 Italian tax payment deadline each year.
- **15-year maximum:** The regime is available for a maximum of 15 years. After that, standard IRPEF applies.
- **Wealth tax exclusion:** Foreign financial assets and foreign real estate under the flat tax regime are exempt from IVAFE and IVIE — a significant additional benefit.

CHAPTER 7

7

The 7% Flat Tax

For Southern Italy Pensioners

A separate and even more favorable flat tax regime applies to foreign pensioners who establish residency in qualifying small municipalities in southern Italy. Under Art. 24-ter TUIR, a flat 7% substitutive tax applies to ALL foreign-source income — pensions, Social Security, dividends, rental income, interest — for up to 10 years.

Who Qualifies

- You receive a foreign pension (including US Social Security and private pensions)
- You transfer tax residency to Italy
- You establish residency in a qualifying municipality in: Sicilia, Sardegna, Calabria, Campania, Basilicata, Abruzzo, Molise, or Puglia
- The municipality must have a population under 20,000 inhabitants
- You have NOT been an Italian tax resident in the previous 5 fiscal years

The Financial Impact

US Annual Income	Standard IRPEF	7% Flat Tax	Annual Saving	10-Year Saving
$40,000 (~€37k)	~€8,000	~€2,590	~€5,410	~€54,100
$60,000 (~€55k)	~€16,000	~€3,850	~€12,150	~€121,500
$80,000 (~€74k)	~€22,000	~€5,180	~€16,820	~€168,200
$100,000 (~€92k)	~€29,000	~€6,440	~€22,560	~€225,600

PRO TIP

The 7% flat tax is the most impactful financial planning tool available to American retirees considering Italy. The combination of low housing costs in southern Italy, excellent climate, low cost of living, AND a 7% flat tax on all US income makes regions like Puglia, Sicily, and Calabria genuinely compelling from a pure numbers perspective.

Qualifying Regions and Example Towns

Region	Example Qualifying Areas
Puglia	Alberobello, Ostuni, Locorotondo, Lecce (smaller municipalities), Martina Franca
Sicily	Most rural municipalities, hill towns, interior provinces
Calabria	Extensive availability — most municipalities qualify
Campania	Rural areas; Naples and Salerno themselves do not qualify
Sardinia	Interior municipalities; coastal resort towns may not qualify
Abruzzo	Mountain and rural municipalities

WARNING

The 7% flat tax and the €100,000 flat tax are MUTUALLY EXCLUSIVE — you cannot use both. For most American retirees with income under €300,000/year, the 7% regime is far more beneficial. For very high-income Americans (above €400k/year), the €100k flat tax may be better.

CHAPTER 8

8

US Retirement Accounts in Italy

401(k), IRA, Roth

US retirement accounts create some of the most complex and potentially expensive tax situations for Americans in Italy. The Italian tax system does not recognize the tax-advantaged status of US retirement accounts in the same way the US does.

Traditional IRA and 401(k) Distributions

Distributions from Traditional IRAs and 401(k)s are taxed as ordinary income in the US. Under the US-Italy tax treaty (Art. 18), private pension distributions are generally taxable in the country of residence. For an Italian resident, Italy has primary taxing rights on IRA/401(k) distributions. The FTC on Form 1116 provides the coordination mechanism — Italy taxes the distribution under IRPEF, and the Italian tax paid is credited against US tax liability.

The Roth IRA Problem

WARNING

Italy has never issued definitive guidance on the taxation of Roth IRA distributions. The current professional consensus is that Italy will treat Roth distributions as taxable income. Since you owe zero US tax on qualified Roth distributions, the Foreign Tax Credit does NOT help — there is no US tax liability against which to apply the Italian credit. This creates GENUINE double taxation on Roth funds for Italian residents.

Roth IRA Strategies for Pre-Move Planning

Strategy	Details
Take Roth distributions before Italian residency	Roth distributions taken while you are still a US-only resident are tax-free in the US and outside Italian taxing jurisdiction. Draw down Roth funds you will need before your anagrafe registration date.
Complete Roth conversions before Italian residency	Roth conversions done while a US resident are taxable in the US but not in Italy. Once you are an Italian resident, a conversion may trigger Italian IRPEF on the conversion amount.
Preserve Roth for post-Italy years	If you plan to eventually return to the US, keeping the Roth intact and drawing on other funds during Italian residence preserves the Roth's tax-free treatment for your US-resident years.

Required Minimum Distributions (RMDs) in Italy

RMDs from Traditional IRAs and 401(k)s starting at age 73 create mandatory taxable distributions that must be coordinated between the US and Italian systems. Italian tax on RMDs is typically higher than US tax at the same income level — meaning the FTC fully offsets US liability and you effectively pay only Italian IRPEF on RMD income.

CHAPTER 9

9

FBAR and FATCA

Reporting Foreign Financial Accounts

Two of the most important US compliance obligations for Americans abroad involve reporting foreign financial accounts — not paying additional tax on them, just reporting them. The penalties for failure to report are severe and disproportionate to any tax owed.

FBAR — Foreign Bank Account Report

The FBAR (FinCEN Form 114) requires US persons to report foreign financial accounts if the aggregate maximum value of all foreign accounts exceeds $10,000 at any point during the calendar year.

Item	Details
Filing form	FinCEN Form 114 (not attached to tax return)
Filing system	BSA E-Filing System at bsaefiling.fincen.treas.gov
Deadline	April 15, with automatic extension to October 15
Threshold	$10,000 aggregate maximum across ALL foreign accounts at any point in the year
What to report	Bank accounts, brokerage accounts, pension accounts (some), insurance with cash value, foreign mutual funds
Penalty (non-willful)	Up to $10,000 per account per year
Penalty (willful violation)	Greater of $100,000 or 50% of account value per year — CRIMINAL prosecution possible

WARNING

The $10,000 threshold is cumulative across ALL accounts. If you have three Italian accounts worth €3,000 each, and they briefly held €11,000 combined at any point in the year, all must be reported for that year. Track your account balances throughout the year.

FATCA — Foreign Account Tax Compliance Act

FATCA (Form 8938, filed with your Form 1040) is a separate reporting requirement for specified foreign financial assets above higher thresholds.

Filing Status	In US	Abroad (applies to you)
Single / MFS	>$50,000 year-end OR >$75,000 at any time	>$200,000 year-end OR >$300,000 at any time
MFJ	>$100,000 year-end OR >$150,000 at any time	>$400,000 year-end OR >$600,000 at any time

PRO TIP

FBAR and FATCA are different forms with different thresholds and filed through different systems. Most Americans in Italy owe BOTH. They are not redundant — FBAR is law enforcement reporting to FinCEN, FATCA is tax reporting to the IRS. Compliance requires completing both annually.

CHAPTER 10

10

Italian Property Taxes

IMU, IVIE, and Rental Income

IMU — Imposta Municipale Propria

IMU is Italy's annual property tax on real estate owned in Italy. It is self-assessed — you calculate it, fill out the F24 form, and pay. No bill arrives automatically.

Property Type	IMU Treatment
Primary residence (prima casa) — non-luxury	EXEMPT from IMU (your main Italian home where you are registered)
Second home / vacation property	Taxable at municipal rates (typically 0.76–1.06% of cadastral value)
Property owned by non-Italian resident	Taxable at standard rate — no primary residence exemption for non-residents
Luxury primary residence (A/1, A/8, A/9 categories)	Taxable even if primary residence

IMU Calculation Formula: IMU = Rendita catastale × 1.05 × 160 (for residential) × municipal rate

Payment deadlines: June 16 (first installment, 50%) and December 16 (balance).

IVIE — Italian Wealth Tax on Foreign Real Estate

IVIE (Imposta sul Valore degli Immobili Esteri) is the Italian tax on real estate owned OUTSIDE Italy by Italian tax residents. If you are an Italian resident and own a home in the US, you owe IVIE.

- **Rate:** 0.76% of the property's foreign market value (or purchase price if market value unavailable)
- **Deductible:** Any foreign property tax paid on the same property (US property tax is deductible against IVIE)
- **Exempt:** If foreign property taxes paid exceed the IVIE amount, no net IVIE is due
- **Reporting:** Declared in the dichiarazione dei redditi, RW section

Italian Rental Income — Cedolare Secca vs IRPEF

Regime	Rate	How	Best When
Cedolare Secca	21% flat (or 10% for assisted leases)	Flat rate on gross rent. No deductions. Replaces IRPEF + registration tax.	Your IRPEF bracket is above 21% (which it is above ~€8,500 income)
IRPEF ordinary	Your marginal IRPEF rate (23–43%) on 95% of gross rent	Deductions allowed (mortgage interest, etc.) + pay registration tax (2% annual)	Low income or significant deductible expenses on the property

CHAPTER 11

11

The Italian Tax Return

Dichiarazione dei Redditi

Which Form to Use

Form	Details
Modello 730	Who uses it: Employed workers and pensioners. Pre-populated by employer/pension data. Deadline: September 30 (through CAF/employer).
Modello Redditi PF	Who uses it: Self-employed, those with complex income, non-residents with Italian income, and anyone with foreign income/assets. Deadline: November 30.

> **NOTE**
>
> Americans in Italy with US income, US accounts, or US retirement accounts virtually always need the Modello Redditi PF — not the simpler Modello 730. The 730 cannot accommodate foreign income reporting (RW section for IVAFE/IVIE) or complex FTC calculations.

The RW Section — Foreign Assets Declaration

The RW section of the Modello Redditi PF is where you declare all foreign financial accounts (bank accounts, brokerage, retirement accounts), foreign real estate, foreign company interests, and the basis for IVAFE and IVIE calculations. It is essentially Italy's equivalent of the FBAR.

Italian Tax Payments — The F24 Form

Italian taxes are paid via the F24 form — a standardized payment voucher used for all Italian tax payments (IRPEF, IMU, IVAFE, contributions). The F24 can be paid at any Italian bank, online through Italian banking portals, or at post offices.

- **June 30:** First advance payment (acconto) — 40% of prior year's IRPEF
- **November 30:** Second advance payment — 60% of prior year's IRPEF
- **Filing deadline:** November 30 — balance due (saldo) or refund claimed

CHAPTER 12

12

Finding Your Commercialista

A commercialista is an Italian chartered accountant — the professional who prepares and files your Italian tax return and advises on Italian tax matters. For Americans in Italy, you need a very specific type: one who has experience with US-Italy cross-border taxation, understands the FTC framework, and ideally speaks English.

Questions to Ask Before Hiring

- Do you have experience with clients who are US citizens living in Italy?
- Can you prepare or coordinate the Italian Modello Redditi PF AND advise on the US Form 1116 FTC?
- Are you familiar with the US-Italy tax treaty (1999) and its Savings Clause?
- Do you have experience with IVAFE and IVIE calculations for US account holders?
- Do you work with a US-based CPA for clients who need both filings coordinated?
- What is your fee structure for Americans with US income and Italian residency?

Finding English-Speaking Commercialisti

- **AmCham Italy** (American Chamber of Commerce in Italy) — publishes lists of professionals with US experience
- **Americans in Italy expat Facebook groups** — first-person referrals from other Americans
- **US Embassy Rome American Citizens Services** — non-endorsed list of English-speaking tax professionals
- Searching "commercialista americani Milano" (or your city) — some specialize in this demographic
- **International accounting networks** (BDO, Deloitte Italy) — for complex/high-net-worth situations

PRO TIP

The ideal setup for most Americans in Italy: an Italian commercialista who handles the Italian return, coordinating with a US CPA (or enrolled agent) who handles the US return. Expect to pay €500–2,000/year for Italian filings and $500–2,500/year for US expat filings depending on complexity.

APPENDIX A

Italian Tax Year Calendar — Every Deadline

Month / Date	Deadline / Event	Form / Action
January	Begin gathering documents for previous year filing	Collect bank statements, brokerage 1099s, Italian income summaries
February 28	CU (Certificazione Unica) issued by Italian employer/pension	Verify income stated matches your records
March–April	US Tax Return deadline	Form 1040 — April 15 (June 15 extension for overseas filers)
April 15	FBAR deadline (auto-extends to Oct 15)	FinCEN Form 114 — file at bsaefiling.fincen.treas.gov
June 16	IMU first installment	F24 form — 50% of annual IMU on non-primary Italian properties
June 30	Italian advance payment 1 (40% of prior year)	F24 — IRPEF acconto first installment
June 30	€100,000 flat tax annual payment (if applicable)	F24 — flat tax regime payment
September 30	Modello 730 filing deadline (if applicable)	Through CAF or employer
October 15	FBAR extended deadline	FinCEN Form 114 extended filing
November 30	Modello Redditi PF filing deadline	Italian income tax return — full filing with RW section
November 30	Italian advance payment 2 (60% of prior year)	F24 — IRPEF acconto second installment
November 30	Balance payment (saldo) if tax owed	F24 — final settlement of prior year Italian taxes
December 16	IMU second installment (balance)	F24 — remaining IMU for the year
Year-round	IVAFE/IVIE — included in Modello Redditi PF	Reported and paid with annual return

APPENDIX B

Key Italian Tax Terms Glossary

Term	Definition
IRPEF	Imposta sul Reddito delle Persone Fisiche — Italian personal income tax (23–43%)
IMU	Imposta Municipale Propria — annual Italian property tax on owned real estate
IVAFE	Imposta sul Valore delle Attività Finanziarie Estere — 0.2% annual tax on foreign financial assets held by Italian residents
IVIE	Imposta sul Valore degli Immobili Esteri — 0.76% annual tax on foreign real estate held by Italian residents
Modello 730	Simplified Italian tax return for employees and pensioners
Modello Redditi PF	Full Italian personal income tax return (formerly Unico) — required for complex situations including foreign income
F24	Standardized Italian tax payment form used for all tax payments
Acconto	Advance tax payment — two installments in June (40%) and November (60%)
Saldo	Tax balance — final payment due at filing, or refund claimed
Commercialista	Italian chartered accountant
Agenzia delle Entrate	Italian Revenue Agency — equivalent of the IRS
Codice Fiscale	Italian tax identification number — 16 characters
Partita IVA	Italian VAT number for self-employed workers and businesses
Cedolare secca	Optional flat-rate tax (21% or 10%) on Italian rental income, replacing IRPEF on rents
Dichiarazione dei Redditi	Annual Italian tax declaration (return)
Residenza	Official registered address in Italy (anagrafe registration)
AIRE	Anagrafe degli Italiani Residenti all'Estero — registry of Italians living abroad
RW Section	Section of Modello Redditi PF where foreign assets are declared (IVAFE, IVIE)

Rendita catastale	Cadastral income value of Italian property — basis for IMU calculations
CU (Certificazione Unica)	Annual income certificate issued by Italian employer — equivalent of W-2
TFR	Trattamento di Fine Rapporto — Italian employee severance fund
Detrazione	Tax credit reducing Italian tax liability
Deduzione	Tax deduction reducing Italian taxable income
CAF	Centro di Assistenza Fiscale — Italian tax assistance center that helps file returns

APPENDIX C

IRPEF Rate Tables 2025

Taxable Income	Marginal Rate	IRPEF on Bracket	Total IRPEF	Effective Rate
€0 – €5,000	23%	€1,150	€1,150	23.0%
€5,001 – €10,000	23%	€1,150	€2,300	23.0%
€10,001 – €15,000	23%	€1,150	€3,450	23.0%
€15,001 – €20,000	23%	€1,150	€4,600	23.0%
€20,001 – €25,000	23%	€1,150	€5,750	23.0%
€25,001 – €28,000	23%	€690	€6,440	23.0%
€28,001 – €35,000	35%	€2,450	€8,890	25.4%
€35,001 – €40,000	35%	€1,750	€10,640	26.6%
€40,001 – €45,000	35%	€1,750	€12,390	27.5%
€45,001 – €50,000	35%	€1,750	€14,140	28.3%
€50,001 – €60,000	43%	€4,300	€18,440	30.7%
€60,001 – €75,000	43%	€6,450	€24,890	33.2%
€75,001 – €100,000	43%	€10,750	€35,640	35.6%
€100,001 – €150,000	43%	€21,500	€57,140	38.1%
€150,001+	43%	43% on excess	—	Approaches 43%

Table shows national IRPEF only. Add regional surcharge (avg 1.5–2%) and municipal surcharge (avg 0.4%) for total effective rate.

About This Guide

Written by Fabrizio Boggio, Editor-in-Chief of Italopedia.com, from Piedmont, Italy, and reviewed with an Italian commercialista with US client experience. Tax law changes annually —

verify all figures with a qualified advisor for your tax year.

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